

HIGH COURT · JUDGMENT DIGEST

M/s Dharti Agro Industries Pvt. Ltd. v. Managing Director, Paschimanchal Vidyut Vitran Nigam Ltd. & Ors.

Writ-C No. 27040 of 2025 | Neutral Citation 2025:AHC:166904-DB | High Court of Judicature at Allahabad | reserved 25 Aug 2025, pronounced 18 Sept 2025

COURT	High Court of Judicature at Allahabad (Division Bench)
CORAM	Hon’ble Arindam Sinha, J. and Hon’ble Prashant Kumar, J. (delivered by Prashant Kumar, J.)
DATE OF JUDGMENT	18 September 2025 (Reserved 25.08.2025; impugned order dated 15.05.2025)
NATURE OF PROCEEDING	Writ Petition under Article 226 of the Constitution of India challenging the respondent electricity distribution company’s refusal to grant an electricity connection to an IBC liquidation auction purchaser on the ground of outstanding electricity dues of the erstwhile company, and raising the question of whether Section 238 of the IBC, 2016 overrides Sections 173–174 of the Electricity Act, 2003
PARTIES	M/s Dharti Agro Industries Pvt. Ltd., a private company engaged in trading of steel products (petitioner) v. The Managing Director, Paschimanchal Vidyut Vitran Nigam Ltd. (PVVNL), State of U.P., and others (respondents)
PROVISIONS	Sections 14, 33, 35, 50, 53, 238 of the Insolvency and Bankruptcy Code, 2016; Sections 2, 50, 56, 173, 174, 175, 181(2)(x) of the Electricity Act, 2003; Clauses 4.3(f)(iv) and 6.15 of the U.P. Electricity Supply Code, 2005; Article 226, Constitution of India
RESULT	Writ Petition allowed. The impugned order dated 15.05.2025 is set aside. The respondents are directed to install the power connection at the petitioner’s premises. The respondents are, however, at liberty to collect their outstanding dues from the Liquidator through the liquidation process in accordance with the IBC, 2016.

POINT FOR DETERMINATION

- Whether an auction purchaser of immovable property acquired on an ‘as is where is’ basis through an NCLT-directed IBC liquidation is liable to pay the outstanding electricity dues of the erstwhile owner.
- Whether the provisions of Sections 173 and 174 of the Electricity Act, 2003 (containing non-obstante clauses) prevail over Section 238 of the Insolvency and Bankruptcy Code, 2016, or whether the IBC as a later enactment overrides the Electricity Act.
- Whether an electricity distribution company can deny a fresh electricity connection to a new purchaser/successor on grounds of outstanding electricity dues of the erstwhile company when the property has been acquired through an IBC liquidation process.
- Whether an electricity company that has participated in an IBC liquidation and filed a claim with the Liquidator can simultaneously pursue independent recovery of those dues under the Electricity Act from the new owner.

FACTS

The petitioner, M/s Dharti Agro Industries Pvt. Ltd., purchased immovable assets of M/s Chaudhary Ingots Pvt. Ltd. (which had gone into insolvency and liquidation) through an online auction conducted by the NCLT-appointed Liquidator on an ‘as is where is whatever there is’ basis; the petitioner deposited earnest money of Rs. 30 lakhs, bid Rs. 518.39 lakhs against a reserved price of Rs. 284.39 lakhs, and paid the full amount; sale certificate was issued on 7.07.2022, possession letter on 27.07.2022, and the sale deed on 29.05.2024.

On application for electricity connection on the purchased property, the respondent PVVNL refused connection on the ground that the erstwhile owner had outstanding electricity dues of Rs. 4,92,69,142 and demanded that the petitioner deposit this amount; after a first writ petition (Writ C No. 9142 of 2025) was disposed of on 10.04.2025 with directions to the respondents to consider the Supreme Court judgment in *Southern Power Distribution Company v. Gopal Agarwal*, the respondents rejected the petitioner’s subsequent representations on 15.05.2025, continuing to demand payment of arrears.

The respondents, PVVNL, had participated in the IBC liquidation proceedings before the NCLT and had filed their claim for outstanding electricity dues with the Liquidator, such claim to be verified and satisfied in accordance with Section 53 of the IBC and the waterfall mechanism.

The dispute turns on whether Section 238 of the IBC displaces the Electricity Act’s recovery mechanism (Sections 173–174) and the U.P. Supply Code’s provision (Clause 4.3(f)(iv)) treating outstanding dues as ‘first charge’ on assets, when liquidation proceedings under the IBC have been initiated.

REASONING OF THE COURT

HEADNOTE

An auction purchaser of immovable property acquired on an ‘as is where is’ basis through an NCLT-directed IBC liquidation is not liable to pay the outstanding electricity dues of the erstwhile company. Although the Electricity Act, 2003 (Sections 173–174) and the U.P. Electricity Supply Code, 2005 ordinarily permit an electricity distribution company to create a statutory charge on premises for recovery of arrears, when liquidation proceedings under the Insolvency and Bankruptcy Code, 2016 have been initiated, Section 238 of the IBC operates to displace the Electricity Act’s independent recovery mechanism. The electricity company is treated as a ‘secured creditor’ or ‘operational creditor’ whose dues must be satisfied through the ‘waterfall mechanism’ (Section 53) of the IBC liquidation. An electricity distribution company cannot avail itself of two independent relief mechanisms—both participating in liquidation *and* pursuing independent recovery from the new purchaser. Absent an IBC liquidation context, ordinary property sales might trigger the non-IBC rules articulated in *K.C. Ninan*; but within liquidation, the IBC framework is determinative.

The foundational legal framework for recovery of electricity dues under the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005. Section 56 of the Electricity Act, 2003 permits a licensee to disconnect supply for non-payment after fifteen days’ notice. Clause 4.3(f)(iv) of the U.P. Electricity Supply Code, 2005 provides that ‘outstanding dues will be first charge on the assets of the company’ and must be entered in any agreement with a new applicant. Clause 6.15 mandates recovery as per Section 56 of the Act and the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958. These provisions ordinarily form the legal machinery for electricity dues recovery. ¶ 22–24

K.C. Ninan v. Kerala State Electricity Board is confined to non-IBC property transfers; it does not govern liquidation scenarios. In *K.C. Ninan*, the Supreme Court held that electricity utilities can create a statutory charge to recover arrears from subsequent transferees through subordinate legislation or statutory conditions of supply, grounded in the public interest of protecting utility infrastructure and funding. However, the Court held that *K.C. Ninan*’s ratio

applies only to ordinary sales or transfers of property, *not* to insolvency scenarios where the IBC's comprehensive statutory regime applies. Since the IBC is a 'Special Act passed later in time' which, by Section 238, supersedes all inconsistent provisions of earlier laws, K.C. Ninan cannot govern property acquired through IBC liquidation. 'The ratio laid down in K.C. Ninan's case (*supra*) would not be applicable as aforesaid judgement is not in reference to the proceedings initiated under the IB Code.' ¶ 27

The Insolvency and Bankruptcy Code establishes a comprehensive 'waterfall mechanism' under Section 53 for distribution of liquidation proceeds. The Bankruptcy Law Reforms Committee Report, 2015 recommended a priority-based waterfall: (1) costs of IRP/liquidation; (2) secured creditors and workmen dues (capped); (3) employees; (4) unsecured financial creditors and workmen; (5) government dues; (6) remaining debts; (7) surplus to shareholders. This waterfall ensures that an electricity company's outstanding dues are treated as a financial or operational creditor's claim to be classified and paid according to priority, *not* as an unlimited first charge on property outside the liquidation process. ¶ 28–30

Section 238 of the IBC creates absolute overriding effect, superseding Sections 173 and 174 of the Electricity Act despite both containing non-obstante clauses. Section 238 of the IBC provides that 'the provisions of this Code shall have effect, notwithstanding anything inconsistent therewith contained in any other law for the time being in force.' Sections 173 and 174 of the Electricity Act also contain non-obstante clauses, creating an apparent conflict; however, the Court held that where two statutes each carry non-obstante clauses, the later Act (the IBC, 2016) prevails under the principle of 'Lex Posterior Derogat Priori'—a later Act repeals the earlier to the extent of inconsistency. The Finance Minister's statement in the Rajya Sabha debates (29 July 2019) explicitly confirmed that Section 238 grants the IBC overriding effect 'in case of inconsistency between two laws.' ¶ 31–32

A series of Supreme Court precedents establish that Section 238 of the IBC overrides even specialized statutes containing non-obstante clauses. The Court cited multiple Supreme Court decisions: (a) *Ghanshyam Mishra v. Edelweiss* approved the Minister's statement that the IBC gives 'major sense of assurance' to resolution applicants that the Government will not pursue new claims post-approval; (b) *Sundaresh Bhatt v. Central Board of Indirect Taxes and Customs* held that Section 142A of the Customs Act, 1962 (claiming 'first charge') is overridden by Section 238, establishing that even specialized tax statutes yield to the IBC; (c) *M/s Innoventive Industries v. ICICI Bank* held that Section 238's non-obstante clause is 'in the widest terms possible,' precluding any right under any other law from impeding the Code; (d) *Duncans Industries v. A.J. Agrochem* held that Section 16G of the Tea Act, 1953 is overridden; (e) *CIT v. Monnet Ispat* reaffirmed the IBC's supremacy over tax statutes; and (f) *K. Kishan v. Vijay Nirman Company* held that the IBC overrides the Arbitration and Conciliation Act. ¶ 33–38

Because PVVNL participated in the IBC liquidation and filed a claim, it cannot simultaneously pursue independent recovery under the Electricity Act. The Court held that since PVVNL had already participated in the IBC liquidation proceedings and filed their claim with the Liquidator, the electricity company cannot simultaneously pursue recovery through two mechanisms: (i) the IBC liquidation process (where its claim will be verified under Section 53's waterfall), and (ii) the Electricity Act's independent recovery against the new purchaser. 'It is not in dispute that the respondent PVVPL had already participated in liquidation process and had made their claim with the liquidator, hence, it will not be open for the respondents to recover outstanding dues under the Electricity Act, 2003, specially when IB Code, 2016 has been triggered.' ¶ 39–41

The Supreme Court decisions in Raman Ispat and Southern Power Distribution Co. v. Gopal Agarwal directly foreclose the respondents' claim. The Court applied *Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Private Limited*, wherein the Supreme Court held that when an electricity company participates in an IBC proceeding and is treated as a 'secured creditor,' it cannot independently pursue recovery of arrears from the new owner or resolution applicant. The electricity company's remedies are confined to the waterfall mechanism; it is not entitled to demand payment from the successor. The Court further cited *Southern Power Distribution Company of Telangana Ltd. v. Gopal*

Agarwal & Ors., which held (following *Raman Ispat*) that a power company ‘cannot insist on payment of arrears’ as a condition for granting connection to an auction purchaser; the company’s recourse is the liquidation process. ‘The instant issue has already been decided in the matter of *Southern Power Distribution Company of Telangana vs. Gupal Agrawal & Ors.* (supra) and in *Paschimanchal Vidyut Vitran Nigam Ltd. vs. Raman Ispat Private Ltd* (supra) wherein it has been categorically held that the provisions of Section 238 of IBC will prevail over.’ ¶ 44–45

INTERPRETATION OF THE ELECTRICITY STATUTES

STATUTORY HIERARCHY; IBC SUPREMACY; LIQUIDATION AND WATERFALL MECHANISM

K.C. Ninan v. Kerala State Electricity Board — limited to non-IBC property transfers

The K.C. Ninan doctrine—permitting statutory recovery of electricity arrears through supply-code charges on subsequent transferees—applies only in the absence of IBC liquidation proceedings. K.C. Ninan recognized the legitimacy of statutory charges for electricity dues on public-utility grounds, but it was decided without reference to the IBC framework and does not contemplate the ‘waterfall mechanism’ of Section 53. When a property is acquired through NCLT-directed IBC liquidation, the IBC’s comprehensive framework supersedes the sectoral regime contemplated in K.C. Ninan. ‘As per Section 238 of IB Code, 2016, the provisions of Electricity Act, 2003 and Electricity Supply Code, 2005 would be overridden by Insolvency and Bankruptcy Code, 2016.’ ¶ 27

Section 238 of the IBC — absolute overriding effect over Sections 173–174 of the Electricity Act

Sections 173 and 174 of the Electricity Act, 2003 contain non-obstante clauses, yet they do not protect the Electricity Act from being overridden by the IBC. Section 238 operates as the controlling statute: it grants the IBC’s provisions ‘notwithstanding anything inconsistent therewith contained in any other law for the time being in force.’ When two statutes each claim overriding effect, the later Act (the IBC, 2016) prevails under the principle of ‘Lex Posterior Derogat Priori.’ The Finance Minister’s explicit statement in the Rajya Sabha debates (29 July 2019) confirms that IBC Section 238 creates an override ‘in case of inconsistency between two laws.’ ¶ 31–32, 42–43

Section 53 of the IBC — waterfall mechanism governs all creditor claims in liquidation

Section 53 of the IBC, 2016 establishes a waterfall distribution of liquidation proceeds: (1) costs of IRP/liquidation; (2) secured creditors and workmen dues (capped); (3) employees; (4) unsecured financial creditors and workmen; (5) government dues; (6) remaining debts; and (7) surplus to shareholders. All creditors, including electricity distribution companies claiming outstanding dues, must have their claims verified by the Liquidator and satisfied through this waterfall, *not* through independent recovery mechanisms under sectoral statutes. This waterfall is determinative of priority and satisfaction; no creditor may circumvent it by pursuing parallel recovery under another Act. ‘The respondents have already participated in the proceedings under the IB Code before the liquidator and had submitted its claim. The liquidator will duly verify and distribute the outstanding amount as per the order for mechanism set up under the IB Code.’ ¶ 30, 38–39

RATIO DECIDENDI

An auction purchaser of immovable property acquired on an ‘as is where is’ basis through an NCLT-directed IBC liquidation is not liable to pay the outstanding electricity dues of the erstwhile company. The Insolvency and Bankruptcy Code, 2016 (Sections 53, 238) overrides the Electricity Act, 2003 (Sections 173–174) and the U.P. Electricity Supply Code, 2005 (Clause 4.3(f)(iv)) to the extent of any conflict. Where an electricity distribution company has participated in the liquidation process and filed a claim with the Liquidator, that company is bound by the waterfall mechanism of Section 53 and cannot simultaneously pursue independent recovery under the Electricity Act from the new purchaser. The electricity company’s dues must be classified and satisfied through the IBC’s priority distribution scheme, not

through direct recovery from the successor in title. An electricity distribution company cannot avail itself of two conflicting remedies against the same debt.

ALSO HELD & OBITER

- **PVVNL as a government corporation but not ‘government participation’ for Section 53(1)(f) classification.** The petitioner submitted that although PVVNL is a government corporation, it cannot be strictly said to be ‘government participation’ within Section 53(1)(f) of the IBC because its functions (electricity supply, generation, transmission, distribution) are replicated by private entities who also hold licenses. ‘Though PVVNL is a government corporation but it cannot be strictly said to be government participation as their functions are replicated by other private entities.’ ¶ 14

DISPOSITION

The writ petition is allowed. The impugned order dated 15 May 2025 passed by respondent No. 3 (Executive Engineer, PVVNL) is hereby set aside. The respondents are directed to install the power connection of 10 KW at the petitioner’s premises situated at Vill: Vehelna, Meerut Road, Muzaffar Nagar, U.P. (Pincode 251003) forthwith. The respondents are, however, at liberty to collect the outstanding electricity dues from the Liquidator through the liquidation process conducted under the Insolvency and Bankruptcy Code, 2016, in accordance with Section 53 (waterfall mechanism) and the orders passed by the NCLT. ¶ 48–49

SIGNIFICANCE

A landmark application of the principle that liquidation under the IBC suspends and rechannels a creditor’s ordinary statutory remedies. Four key propositions emerge:

- **IBC liquidation displaces sectoral recovery regimes; no parallel mechanisms permitted.** Once an insolvency liquidation is initiated under the IBC, an electricity distribution company—despite possessing statutory powers under the Electricity Act and Supply Code—must pursue its claim through the liquidation’s waterfall mechanism and cannot independently demand payment from the new owner or purchaser. The IBC framework is determinative; sectoral statutes (Electricity Act, Customs Act, Tax Act) are subordinated to it once insolvency is triggered.
- **K.C. Ninan’s statutory charge doctrine does not extend to IBC liquidation contexts.** The K.C. Ninan holding—that utilities may recover arrears from subsequent purchasers through statutory charges—is limited to ordinary property transfers and does not apply when the property is acquired through NCLT-directed IBC liquidation, where the comprehensive ‘waterfall mechanism’ supersedes sectoral recovery rules. The partition reflects the IBC’s express intention to subordinate all pre-liquidation claims to its own ordered distribution.
- **A creditor cannot pursue two remedies simultaneously: insolvency participation and independent statutory recovery.** An electricity company that participates in an IBC liquidation and files a claim with the Liquidator is estopped from pursuing independent recovery against the new purchaser under the Electricity Act. Dual recovery would violate the collective-action principle underlying insolvency law and unjustly enrich the creditor at the expense of other claimants, while chilling investment in distressed assets acquired at auction.
- **Section 238 of the IBC overrides all non-obstante clauses in sectoral statutes, including Sections 173–174 of the Electricity Act.** The principle of ‘Lex Posterior Derogat Priori’ (a later Act repeals the earlier) applies when two statutes each contain non-obstante clauses; the later enactment (IBC, 2016) prevails, as confirmed by the Finance Minister’s explicit statements and a series of Supreme Court decisions overriding the Customs Act, Tax Act, and Arbitration Act, among others. The IBC’s override is absolute and applies across all sectors.

- **An ‘as is where is’ IBC liquidation sale cleanses the property of pre-acquisition statutory charges.** An auction purchaser acquiring property under an ‘as is where is’ liquidation sale pursuant to an NCLT order is protected from claims arising from the erstwhile company’s debts, including electricity arrears. The IBC framework operates as a ‘fresh start’ mechanism, ensuring that new investment in distressed assets is not chilled by inherited statutory liabilities and that liquidators can realize maximum value for all creditors.

TABLE OF AUTHORITIES

Authorities substantively discussed by the Court in the course of reasoning, showing the treatment (applied, distinguished, cited, or relied upon) and the specific proposition each advances.

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Electricity Act, 2003</i> Act No. 36 of 2003 · Statutory	Sections 56, 173, 174, 175 establish the framework for recovery of electricity dues, disconnection of supply for non-payment, and authorize the State Commission to frame regulations (such as the Electricity Supply Code) for recovery.	The Court cited this as establishing the foundational legal framework for recovery under the Electricity Act regime, noting that Sections 173–174 contain non-obstante clauses claiming overriding effect; however, these provisions are themselves overridden by Section 238 of the IBC. (¶22–24)	Cited (as foundational framework, but subordinated to IBC)
<i>Insolvency and Bankruptcy Code, 2016</i> Act No. 31 of 2016 · Statutory	Sections 14, 33, 35, 50, 53, 238 establish the comprehensive regime for insolvency resolution and liquidation; Section 238 grants absolute overriding effect to the Code over all other laws.	The Court applied the IBC framework throughout, treating it as the controlling statute that displaces the Electricity Act once liquidation is initiated. Section 238 was held to override Sections 173–174 of the Electricity Act despite both containing non-obstante clauses. (¶31–32, 42–43)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Section 53, Insolvency and Bankruptcy Code, 2016 — Waterfall Mechanism Section 53, IBC, 2016 · Statutory	Establishes the priority order for distribution of liquidation proceeds: (1) costs of IRP/liquidation; (2) secured creditors and workmen dues (capped); (3) employees; (4) unsecured financial creditors and workmen; (5) government dues; (6) remaining debts; (7) surplus to shareholders.	The Court held that an electricity company's dues must be satisfied through Section 53's waterfall mechanism, not through independent recovery under the Electricity Act. This waterfall governs all creditor claims in liquidation. (¶30, 38–39)	Applied
K.C. Ninan v. Kerala State Electricity Board and others 2023 SCC Online SC 663 : (2023) 9 S.C.R. 637; Civil Appeal No. 2109–2110 of 2004 · Supreme Court of India	Electricity utilities can create a statutory charge to recover arrears from subsequent transferees through subordinate legislation or statutory conditions of supply, grounded in the public interest of protecting utility infrastructure.	The Court distinguished this case, holding that K.C. Ninan applies only to ordinary property transfers, not to IBC liquidation, where the waterfall mechanism supersedes sectoral recovery rules. 'The ratio laid down in K.C. Ninan's case (supra) would not be applicable as aforesaid judgement is not in reference to the proceedings initiated under the IB Code.' (¶127)	Distinguished

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Private Limited and Others</i> AIR 2023 SC 3501 · Supreme Court of India	An electricity supply company that participates in an IBC proceeding is treated as a secured creditor under the waterfall mechanism (Section 53) and cannot demand payment from a resolution applicant or new owner; its dues must be satisfied through the liquidation process according to priority.	The Court applied this decision to hold that PVVNL, having participated in liquidation and filed a claim with the Liquidator, cannot independently recover from the auction purchaser. ‘The instant issue has already been decided in the matter of...Paschimanchal Vidyut Vitran Nigam Ltd. vs. Raman Ispat Private Ltd (supra) wherein it has been categorically held that the provisions of Section 238 of IBC will prevail over.’ (¶44–45)	Applied
<i>Southern Power Distribution Company of Telangana Ltd. v. Gopal Agarwal & Ors.</i> Civil Appeal No. 1918 of 2016 (referred to in ¶12) · Supreme Court of India	An auction purchaser cannot be denied a fresh electricity connection due to arrears of the erstwhile owner; the power company cannot insist on payment of arrears as a condition for connection.	The Court cited this (following Raman Ispat) to support the holding that the petitioner cannot be denied connection on grounds of erstwhile company arrears; the respondent’s recourse is the liquidation waterfall. (¶44)	Cited

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Tata Power Western Odisha Distribution Limited (TPWODL) & Anr. v. Jagannath Sponge Private Limited</i> Company Appeal (AT) No. 5556 of 2023 (Supreme Court judgment) · Supreme Court of India	A power company cannot insist on payment of arrears (which must be paid under the waterfall mechanism) for grant of an electricity connection to a successful resolution applicant; however, the applicant must comply with other requirements for connection.	The Court cited this as recent precedent affirming Raman Ispat and confirming that electricity companies are bound by the waterfall mechanism once they participate in insolvency. (¶15)	Cited
<i>M/s Innoventive Industries Ltd. v. ICICI Bank</i> (2018) 1 SCC 407 · Supreme Court of India	Section 238 of the IBC mandates that the provisions of the Code shall have effect notwithstanding anything inconsistent in any other law; the non-obstante clause is ‘in the widest terms possible’ to preclude any right under any other law from impeding the Code.	The Court cited this to establish that Section 238 creates an absolute override of the Electricity Act, despite both Acts containing non-obstante clauses. (¶137)	Cited

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Sundaresh Bhatt, Liquidator of ABG Shipyard v. Central Board of Indirect Taxes and Customs</i> 2022 SCC Online SC 1101 · Supreme Court of India	When moratorium is imposed under Sections 14 or 33 of the IBC, Section 238 overrides the Customs Act, 1962; the taxing authority loses its power to initiate recovery of dues by sale/confiscation and can only assess quantum.	The Court cited this to show that even specialized tax/revenue statutes (Customs Act) are overridden by the IBC, establishing precedent for the Electricity Act's subordination to Section 238. (¶34–35)	Cited
<i>Ghanshyam Mishra and sons Pvt. Ltd. through authorized signatory v. Edelweiss Asset Reconstruction Company Limited through director and others</i> (2021) 21 SC 196 · Supreme Court of India	The Finance Minister's statement in Rajya Sabha debates (29 July 2019) confirms that the IBC has overriding effect under Section 238 and provides 'major sense of assurance' to resolution applicants that the Government will not make further claims after resolution plan approval.	The Court cited this to support the proposition that Section 238 grants the IBC absolute override, as explicitly affirmed by the Finance Minister in parliamentary debates. (¶32–33)	Cited

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Duncans Industries Ltd. v. A.J. Agrochem</i> (2019) 9 SCC 725; AIR 2019 Supreme Court 5472 · Supreme Court of India	Section 16G of the Tea Act, 1953 (requiring Central Government consent for winding up) is overridden by the IBC, establishing that even substantive requirements of sectoral statutes yield to the IBC.	The Court cited this as further precedent that the IBC overrides specialized statutes, supporting the conclusion that the Electricity Act is similarly overridden by Section 238. (¶36)	Cited
<i>CIT v. Monnet Ispat and Energy Ltd.</i> (2018) 18 SCC 786 · Supreme Court of India	The IBC's overriding effect under Section 238 is absolute and applies to tax and revenue statutes.	The Court cited this as precedent that the IBC prevails over sectoral statutes, reinforcing Section 238's supremacy. (¶37)	Cited
<i>K. Kishan v. Vijay Nirman Company Private Limited</i> (2018) 17 SCC 662 · Supreme Court of India	The IBC overrides the Arbitration and Conciliation Act, 1996; the IBC's comprehensive framework takes precedence over other procedural statutes.	The Court cited this to demonstrate that the IBC overrides not just substantive but also procedural statutes, supporting its conclusion that the Electricity Act is subordinated to the IBC. (¶38)	Cited

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Ahemdabad Electricity Supply Company Ltd. v. Gujarat Inns Pvt. Ltd. 2004 (3) SCC 587 · Supreme Court of India	An auction purchaser cannot be denied power supply due to non-payment of arrears by the erstwhile company.	The petitioner relied on this to argue that the respondent cannot deny connection on grounds of erstwhile arrears. The Court implicitly endorsed it as part of the non-IBC jurisprudence protecting auction purchasers. (¶11)	Cited by petitioner
NESCO v. Raghunath Paper Mills (P) Ltd. (2012) 13 SCC 479 · Supreme Court of India	A purchaser in an auction sale conducted by the official liquidator on an ‘as is where is’ basis is not liable for payment of electricity arrears; the request for fresh connection cannot be rejected on grounds of the past owner’s arrears.	The petitioner cited this, and the Court implicitly endorsed it as part of the non-IBC jurisprudence protecting auction purchasers, while extending the protection to the IBC context through Section 238’s overriding effect. (¶12)	Cited by petitioner

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.